

Let's speed up that data protection bill, please

THE BIGGEST DATA BREACH IN THE HISTORY OF THE INTERNET ALLEGEDLY TOOK PLACE AND THE COMPANY WHOSE DATA WAS BREACHED IS A DIGITAL WALLET FIRM FROM INDIA.

Of course, it goes without saying that the company resorted to issuing statements denying the fact that a breach even took place. Even after information about the breach was made public by a security researcher and multiple third-parties confirmed the validity of the incident, the company continued to be in denial mode. It even went on to threaten the researcher with lawsuits and only turned around when more local and international news organisations started picking it up. And it can afford to do so because the laws governing data protection in India are all but absent. This is why we've had numerous breaches in the past and the go-to tactic for all these companies is to deny, deny and deny more.

What India needs is a GDPR-like law which will govern not only what data companies can ask of their customers, but also how securely they have to be stored. In a country where Googling with a few modifiers can net you all sorts of details such as names, phone numbers, national ID numbers and more, a stringent framework is the need of the hour. You can easily apply and be granted loans by using some of the information that can be simply googled. In the case of the recent breach, the folks selling the data are claiming that it can be easily used to raise loans, since that was why the data was first procured. It's easy to see why this could very well be the case.

Thankfully, there is a legal framework being debated in parliament. The Personal Data Protection bill was introduced in 2019 and is heavily based on the EU's GDPR. It has provisions to dictate the conditions under which companies can request and store data pertaining to Indian citizens. It segregates personal data into three heads – general, sensitive and critical – based on how important and personal they are. And it outlines penalties for companies that break the rules, or let a data breach happen. On the flipside, the bill also

gives the Government overreaching powers to obtain anyone's stored data. This last point has caused some concern.

Some think tanks have argued that the bill does not correctly address privacy-related concerns and rather sets up a preventive framework. It would also require social media websites and practically anyone capturing data pertaining to Indian citizens to store them locally rather than moving it overseas. This would obviously lead to a lot of expenditure for companies to set up local data centres. Honestly speaking, the government has always had your data. And if it has reasons to believe that you are a threat to the sovereignty of the nation, then it will get its hands on your personal data by using the existing legal frameworks. So the argument alleging overreach by the government is moot.

The data localisation cost is a valid point. Companies set up data centres and regions on the basis of their current user base while factoring in scalability. A data localisation law requires a permanent investment in a country that's over and above what the company has earmarked for infrastructure costs. This is a serious concern but if a company foresees tangible growth in India, I don't see why setting up a local data centre should be a concern. Countries like Canada, China, Germany, Russia and Australia have some level of data localisation laws in effect. Most deal with personal data and health records, in particular. Another factor in favour of data localisation is that a company will have to take data protection seriously under penalty of being cut off from their local user base. I don't see such drastic measures being reinforced, but having local infrastructure and investment will certainly force a company to not take their users' data for granted.

What's the downside of having a stronger data protection law? Some companies might just forego India as a market and I'm fine with that. I'd much rather sleep peacefully at night knowing that my data is safeguarded, rather than rudely wake up to see all my personal accounts compromised. 



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